

Interview | Praful Patel

“How long can the Government support without a change in employee mindset?”

Furious and frustrated, Civil Aviation Minister Praful Patel speaks to INDIA TODAY Managing Editor SHANKAR AIYAR on the current crisis and dismisses speculation that bilaterals and aircraft acquisitions triggered it.

Q. Who is responsible for the mess at the national carrier?

A. There are two parts to the story. One is the impact of high fuel prices and the slowdown and the other is the legacy of poor productivity that has haunted the national carriers. But first I want to ask, why are we singling out the national carrier? Global carriers such as British Airways, Air Canada are suffering and so are domestic airlines like Jet and Kingfisher. But there is no doubt that the 31,000 people at the airline should feel the need to improve the state of affairs now on.

Q. The ministry has representatives on the board. Did they not report the rotten state of affairs?

A. The ministry has people on the board of the airlines and they did keep us informed. But repeated assurances of improvement and productivity were not kept. More importantly systemic issues at AI and IA did not get addressed in a timely fashion. For instance, since two years the airline has not been able to implement integration of IT systems essential for the merger

and entry into the Star Alliance. It is really frustrating.

Q. Is it not unusual for a firm with an equity of just Rs 145 crore buying assets of Rs 55,000 crore?

A. It is. It was indeed one of the issues that was raised and we had asked for equity infusion as financial institutions would not finance transactions. Equity infusion and an IPO were part of the post-merger road map.

Q. Did AI and IA need the 111 planes?

A. The last time AI bought aircraft was when Rajiv Gandhi was prime minister, over 20 years back. IA's order of 43 planes was already cleared before



canteens have 1,000 people. This again could be outsourced. By some peculiar calculation the airline pays its deputy maintenance engineer Rs 50,954 as salary and Rs 1,68,821 as productivity-linked incentive (PLI) even as the operating losses (mind you this is just cost minus expenses) plummeted from Rs 333 crore in 2005-06 to Rs 3,149 crore in 2008-09. Sure there has been some hiccup over wage boards and PLI is a surrogate pay revision; but is it linked to productivity or revenue?

Nevertheless, the Maharaja hasn't been grounded by overweight baggage of loose change. Nor did it happen

overnight. As the economy opened up, the creatures of the Socialist era were expected to compete. Successive governments promised change but the airlines, like the mythical Centaur, continued to be half human and half beast. Ill-equipped and burdened with an ageing fleet they serviced non-viable destinations like Kabul and Dhaka even as private airlines were not required to.

Caught between poor leadership and political whims, the airlines limped with no attempt at restructuring.

When Civil Aviation Minister Praful Patel arrived at Rajiv Gandhi Bhavan in 2004, he brought promise. He opened up the sector to new airlines, creating capacity, competitive pricing and growth. Patel also pushed through the biggest, 111 aircraft acquisition plan for

“ This didn't happen overnight. The Government and the former AI management are responsible for the mess. ”

BHARAT KUMAR RAUT, MP, Shiv Sena